India by investing in building the most advanced, globally competitive and functional digital chips, cells, modules, products, etc. The PLI currently committed to several product-based small schemes can be combined (and enhanced) to get these digital components, and not the final consumer products, manufactured in India. If India can really incentivize the design and manufacture of chips, cells, modules, etc., for use in all goods and products, we can seize the initiative in the digital economy space in a big way.

Second, semiconductors remain the pivot of digitalizing the global economy for many years. India does not have any semiconductor manufacturing facility. The government of India has been keen to get a semiconductor FAB (fabrication plant) set up in India for over fifteen years. All attempts to invite investors have been unsuccessful so far. Another notice inviting Expression of Interest (EoI) was issued in December 2020 for 'setting up/expansion of existing Semiconductor wafer/device fabrication (FAB) facilities in India or acquisition of Semiconductor FABs outside India.' Indian firms do not own semiconductor FAB technology while global players have set up FABs at several places in the world.

Global semiconductor firms will come and set up such a FAB only if they see profits. Digital manufacturing suffers from the same ills that held back India's industrialization. There are land, labour and many other issues as well. The non-competitiveness of India's financial sector is sought to be tackled by setting up a foreign enclave in the Gujarat International Finance Tec-City (GIFT city), a business district near Ahmedabad. The semiconductor industry will most likely come to India only if one can create a Taiwan, China or Vietnam on our territory. India should establish a foreign territory in a relatively business-friendly Indian state with laws, financial system, tariff structure and freedom of engaging labour applicable in the model foreign country chosen for the purpose. This proposal is not same as an SEZs; this is SEZ plus +.